

Sector Views: Proceed with caution

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/fixed-income/sector-views-proceed-with-caution>

Extraction method: selenium

Sector Views: Proceed with caution

Executive summary

Since our last publication, we have upgraded our outlook on the US economy and now expect strong overall activity. Although there has been a temporary suspension of economic data releases due to the ongoing US federal government shutdown, there have been no signs that the economy has substantially changed its path. We anticipate central-bank actions will vary over the next year. The US Federal Reserve (Fed) has delivered two 25-basis point (bp) cuts so far this year, but ongoing inflationary pressures could complicate its ability to continue cutting rates. The European Central Bank (ECB) announced that it is near the end of its rate-cutting cycle and will respond only if there is significant deterioration in economic conditions.

We remain cautious about taking on either duration or spread risk at this time. Intermediate- and long-term US Treasury (UST) yields appear too low in our view, as the US federal government's focus on issuing short-maturity instruments has held down curve term premia. Spread levels in fixed income remain near multi-decade tights, seemingly looking through current uncertain market and economic conditions including ongoing trade tensions and the aftereffects of the current US federal government shutdown.

Fixed income outlook dashboard

Outlooks for fixed income sectors are based on our analysis of macroeconomic themes and the technical conditions, fundamentals and valuations for each asset class. We rate each sector from bearish to bullish to express our projections for relative returns over the next 6-12 months.

There is no assurance any estimate, forecast or projection will be realized.

US Economic Forecasts

Sources: US Census, NAR, Macrobond. Analysis by Franklin Templeton Fixed Income. As of November 3, 2025. There is no assurance any estimate, forecast or projection will be realized.

European Economic Forecasts

Sources: Eurostat, NAR, Macrobond. Analysis by Franklin Templeton Fixed Income. As of November 3, 2025. There is no assurance any estimate, forecast or projection will be realized.

Market backdrop

Our full-year 2025 US gross domestic product (GDP) growth projection is 2.1%, modestly higher than our previous estimation. Consumer spending remains the main driver of growth. Several factors have bolstered spending, including low unemployment and positive wealth effects partially derived from record-breaking stock market valuations and built-up equity in the US housing market. In our view, US GDP growth will continue around trend in 2026.

There have been media headlines of corporations laying off large amounts of white-collar workers, but state-level data of initial jobless claims remain stable. In our view, the unemployment rate has neared its peak, and we see no immediate driver for the US job market to slow substantially from here. In our view, inflation will continue to be sticky. We have seen goods inflation pick up over the past several months after falling over the past two years. This trend should continue to keep the core Consumer Price Index well above the Fed's 2.0% inflation target through the end of 2026.

Outside the United States, economic growth still faces some challenges. In Europe, we think growth will continue to be positive, but at low levels, amid the resolution of US trade tensions. In our estimation, GDP growth will likely remain in the area of 1.3% for this year and next, and inflation will continue to trend down toward the ECB's 2.0% target. Similarly, we expect Japanese GDP growth of only 0.5% in full-year 2025, increasing to 1.0% in 2026. Inflation has been difficult for the Bank of Japan to get under control, but it should begin to decline, moving from a projected 3.0% in 2025

to 2.2% in 2026.

Tariffs

Tariff concerns have not yet made the price impact that many market participants assumed. Customs duties, while increasing, are still below theoretical tariff rates. Actual tariffs paid, as a percentage of imports, remain under 11%, compared to the expected 16%-18%. We still anticipate that the cumulative effect of increased tariffs will cause a one-off burst of inflation, about 1.0-1.5 percentage points. We have yet to see the full impact of this boost, partially due to the use of increased business inventories which had been built up prior to the implementation of new duties. These inventories continue to be depleted, leading to increased goods prices. Additionally, some businesses have chosen to absorb some of their increased input costs, but this is not guaranteed as companies will defend their profit margins.

US yield curve

Our view on the level and shape of the yield curve has not changed, and we expect intermediate- and longer-term UST yields to move higher over the medium term. The steepness of the curve has been impacted by the way the US federal government has been funding increased fiscal spending. New UST issuance has been skewed toward bills—those with less than 12 months to maturity—rather than longer-term notes and bonds. This composition is seen as a key factor keeping the term premium in the yield curve contained. However, the market anticipates a shift in issuance toward longer-term bonds by mid-next year, which would exert upward pressure on the term premium, as experienced in October 2024 when issuance shifted toward longer maturities.

Fed path

The Fed delivered two successive 25-bp cuts at its September and October meetings. These cuts have been widely characterized as “insurance cuts.” In our view, this was somewhat premature. As has historically been the case, the Fed has chosen to focus on the maximum employment side of its dual mandate. Although we acknowledge that the US job market is cooling, it appears well under control, with historically low unemployment. Market expectations for future rate cuts have declined, but still project a terminal rate of approximately 3.0%. We feel that this “goldilocks” scenario, where the Fed can cut rates without inflation implications, is overly aggressive. The Fed still must contend with sticky inflation with positive pressures from tariffs. Our view is that the Fed has one more cut left; any additional cuts would likely tie policymakers’ hands if inflation pressures in 2026 accelerate.

Overall risk outlook

Neutral with reason for concern

We maintain our neutral with reasons for concern outlook on fixed income spreads as valuations continue to look stretched across much of the fixed income market. The US economy is holding up well into year-end, and we expect GDP growth to continue at or above trend levels. This has supported fundamental conditions in corporate credit and securitized markets, along with strong technical conditions and ample demand for bonds. However, spreads across much of the fixed income universe remain at or near multi-decade highs. In our view, this continues to present an asymmetrical outcome picture. Spreads do not have the potential to tighten materially from here and any negative surprises could cause widening returning to more historical norms. This limits the upside potential for capital appreciation. Returns from fixed income products will predominantly come from yield and income provided by holding bonds. With our current view that the Fed will have limited room to enact multiple rate cuts unless we see a material deterioration of the US economy, we prefer lower-duration, high-quality assets under the current market environment.

Key sector viewpoints

Short-duration fixed income:

Short-duration fixed income has delivered similar long-term annualized returns to well-known fixed income benchmarks, but with substantially less volatility (standard deviation), resulting in higher historical long-term risk-adjusted returns (Sharpe Ratio).¹

With attractive yields and less interest-rate sensitivity, short duration looks positioned to deliver greater return consistency versus core fixed income under different interest-rate scenarios, in our view.

Investors can capture higher yields in short-duration relative to “cash”-like investments such as money market funds and short-term USTs.

The yield differential may continue to increase moving forward due to Fed policy, changing yield-curve dynamics, and reforms on money market funds.

As a result, we believe there is a strong case to use a short-duration strategy as a structural allocation within a diversified fixed income portfolio.

Municipal (muni) bonds:

In September, the muni bond market recorded its strongest monthly performance of the year, surpassing the returns of most other fixed-income sectors, as favorable supply and demand boosted returns.

For much of the year, the municipal bond yield curve has been steepening, characterized by short-term yields declining with long-term yields rising. However, this trend reversed during the month, resulting in a tailwind for longer maturity municipals, providing investors with enhanced returns in this segment.

Despite the robust returns observed in September, municipal bond valuations remain attractive, especially for maturities of 20 years or more. This suggests that there may still be compelling investment opportunities within longer maturity municipals.

Securitized:

We continue to favor agency mortgage-backed securities (MBS) over the medium-term, with a favorable fundamental and technical outlook for the sector and attractive relative value to investment-grade (IG) corporates. IG corporate spreads relative to MBS option-adjusted spreads are still near historically tight levels.

Although money managers' overweight allocation is a potential hurdle for spread tightening, we anticipate increased demand from banks. Bank demand could increase if the yield curve normalizes or regulatory uncertainty dissipates. Although China, Canada, and Japan agency bond holdings continued to decline third quarter 2025, potential dollar weakness could attract buyers as currency hedge-adjusted yields become more attractive.

We continue to find value in "out-of-the-money" agency interest-only (IO) bonds, which offer attractive carry with lower volatility since they remain largely insulated from prepayment risk

Sector settings overview

Moderately bullish

Emerging market (EM) sovereign debt: We believe strong supply and demand factors together with valuations should support EM debt performance into year-end. We retain our relative preference for EM high-yield (HY) bonds, given spread buffers, and favor issuers that stand to benefit from any rally in real assets, such as gold.

Municipal bonds: Credit fundamentals and technical conditions remain strong. Healthy investor demand and relatively attractive yields lead us to remain moderately bullish on tax-exempt muni bonds.

Neutral with reason for optimism

Floating-rate bank loans: While we expect fundamentals to remain relatively stable, though bifurcated, higher-for-longer rates, policy uncertainty and market volatility could continue to pressure ratings in the near term.

US Treasury-Inflation Protected Securities (TIPS): Inflation accruals are higher than anticipated, which has caused us to lower our expectations.

Neutral

Asset-backed securities (ABS): Given the prevailing uncertainties on policy (tariff and tax), possible headwinds could impact collateral performance and seller/servicer risks, especially for the bottom of the capital stack.

EM corporate bonds: EM corporates have generally weathered tariff-related noise in 2025 with stable fundamentals. Leverage and margins remain intact, which should support spreads.

Global Sukuk: The relative strength of global Sukuk credit fundamentals, with supporting market technicals, provides a buffer against potential market stress, which in our view reinforces the case for long-term allocations to global Sukuk.

Agency mortgage-backed securities: Conditions are improving based on tighter spreads, prepayment risk in the higher coupon securities, and neutral fundamental outlook, offset by a favorable technical outlook, expectation of increased bank demand, and low net supply in the market.

Non-agency residential mortgage-backed securities: We are neutral on the sector, given rich valuation and modest home price growth expectation. Amid heightened macroeconomic uncertainty, we favor opportunities near the top of the capital stack.

US high-yield (HY) corporate bonds: We remain broadly constructive, albeit a neutral stance, believing that tariff-related economic volatility presents only moderate incremental risk to the range of market outcomes over the longer term.

Neutral with reason for concern

Collateralized loan obligations (CLOs): In a higher-for-longer interest-rate environment, we think demand for floating-rate instruments, such as CLOs, should remain robust. The limited net supply of CLOs is likely to be absorbed by the market.

Commercial mortgage-backed securities: While the commercial real estate sector has been showing signs of improvement, and generic spreads are still well wide of historical tightness and closer to long-term averages, we believe they do not reflect new risks and spreads could widen.

European high-yield corporates: Strong supply-and-demand factors are helping to anchor spreads, with still-attractive yields stimulating inflows. A resilient European banking sector and expectations of fiscal stimulus should add support, counterbalancing any potential bouts of volatility.

European investment-grade (IG) corporate bonds: Despite rich valuation levels, resilient fundamentals and strong liquidity should broadly support spreads.

Japanese government bonds (JGB): We have improved our stance on JGBs, as the Bank of Japan (BoJ) left the policy rate unchanged at 0.50% during its September meeting, as widely expected. The BoJ decided to begin unwinding its exchange-traded funds and Japanese real estate investment trust holdings.

US investment-grade (IG) corporate bonds: Strong demand and solid fundamentals support US IG bonds, but tight spreads lead us to favor shorter-maturity, high-quality issuers, short maturities and lower dollar-priced bonds.

Moderately bearish

European government bonds: We believe further ECB easing is unlikely given inflation near target and longer-term fiscal constraints. We maintain our cautious outlook, although noting rising euro sovereign political risk premium has been relatively contained.

US Treasuries: We maintain our moderately bearish stance due to continued uncertainty within the market and our belief volatility should rise over the next six months. We expect to see a shift in UST issuance toward longer-term bonds to fund fiscal deficits which should put upward pressure on yields.

Endnotes

Source: ICE BofA 1-3-year US corporate index versus Bloomberg US aggregate bond index. January 1978 – September 2025.

Glossary of terms

Asset-Backed Security (ABS): a financial security backed by a loan, lease or receivables against assets other than real estate and mortgage-backed securities.

Collateralized loan obligation (CLO): a single security backed by a pool of debt.

Duration: A measure of the sensitivity of a bond's price to interest rates.

Non-agency mortgage-backed securities (MBS): securities issued by private entities and not by federal agencies (Fannie Mae, Freddie Mac and Ginnie Mae); they are also called non-conforming loans.

Residential mortgage-backed securities (RMBS): a type of mortgage-backed debt obligation created from residential debt, such as mortgages, home-equity loans and subprime mortgages.

Sukuk: Financial certificates similar to bonds, but which comply with Islamic law/Sharia principles.

Term premia: The amount by which the yield-to-maturity of a long-term bond exceeds that of a short-term bond.

Yield curve: The yield curve shows the relationship between yields and maturity dates for a similar class of bonds

Yield spreads/tightness: Spreads are the difference between yields on differing debt instruments of varying maturities, credit

ratings, issuers or risk levels. ?Tight? in reference to spreads indicates small differences in yields.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Changes in the credit rating of a bond, or in the credit rating or financial strength of a bond's issuer, insurer or guarantor, may affect the bond's value. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default. Floating-rate loans and debt securities are typically rated below investment grade and are subject to greater risk of default, which could result in a loss of principal. Asset-backed, mortgage-backed or mortgage-related securities are subject to prepayment and extension risks. International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Leverage increases the volatility of investment returns and subjects investments to magnified losses and a decline in value.

Diversification does not guarantee a profit or protect against a loss.

WF: 7521958

View more about Franklin Templeton Fixed Income and the strategies they manage.

CONTRIBUTORS

Sonal Desai, Ph.D.

Chief Investment Officer, Franklin Templeton Fixed Income

Mike Salm

Director of Multi-Sector Strategy

Patrick Klein, Ph.D.

Director of Multi-Sector Strategy, Portfolio Manager United States

Albert Chan, CFA

Head of Portfolio Construction & Analytics

Related Content

Macro Views: Optimism at the edges

On My Mind: Dancing in the dark

Central Bank Watch: Measured moves

Explore Franklin Templeton Fixed Income Insights

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily

indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.